

CHAPTER THREE

DECISION MAKING

Definition

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Decision making:

- ✍ It is the act of choosing one alternative from among a set of alternatives.
- ✍ Decision-making is part of every aspect of the manager's duties, which include planning, organizing, staffing, leading and controlling
- ✍ Even though in all managerial functions decision-making is involved, the critical decision-making is during planning because planning identifies the objectives of the organization

Elements of decision making

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- ✍ When managers make decisions; they are choosing or selecting from among alternatives.
- ✍ When managers make decisions, they have available alternatives. When there are no alternatives, there is no decision-making, rather it become mandatory.
- ✍ When managers make decisions, they have purpose in mind. The purpose in mind is organizational objectives.

THE DECISION-MAKING PROCESS

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- ✎ Every decision is the outcome of a dynamic process that is influenced by multitude of forces.
- ✎ So decision-making has its own processes / series of steps.
- ✎ Step 1: **Identifying problems:**
 - A necessary condition for a decision to exist is a problem

THE DECISION-MAKING PROCESS

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What is problem? The discrepancy between an actual and desired state; a gap between where one is and where one wants to be.

If problems do not exist, there will be no need for decisions

How the criticality of the problem is measured?

It is measured by the gap between level of performance specified (standards set) and level of performance attained.

THE DECISION-MAKING PROCESS

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How the gap is located?

- i) **Deviations from past performance:** employee turnover increases, sales decline, selling expenses increase, or more defective units are produced
- ii) **Deviation from plan:** a new product fails to meet its market share objective, profit levels are lower than planned, and the production department is exceeding its budgets.

THE DECISION-MAKING PROCESS

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iii)Outside criticism: The actions of outsiders may indicate problems.

Customers may be dissatisfied with a new product or with their delivery schedules; a labor union may present a grievance.

THE DECISION-MAKING PROCESS

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Decision makers face three types of problems:

A crisis problem: is a serious difficulty requiring immediate action.

A non-crisis problem: is an issue that requires resolutions but does not simultaneously have the importance and immediacy characteristics of a crisis.

An opportunity problem: is a situation that offers strong potential for significant organizational gain if appropriate actions are taken.

THE DECISION-MAKING PROCESS

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This step has three general stages:

Scanning stage: Involves monitoring the work situation for changing circumstances that may signal the emergence of a problem.

Categorization stage: At this point the manager attempts to categorize the situation as a problem and a no problem.

Diagnosis stage: involves gathering additional information and specifying both the nature and the causes of the problem.

THE DECISION-MAKING PROCESS

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Step2:Developing Alternatives: This is a search process in which relevant internal and external environment of the organization are investigated to provide information that can be developed into possible alternatives.

Step3:Evaluating Alternatives: Each alternative must be judged in light of the goals and resources of the organization and how well the alternative will help solve the problem.

THE DECISION-MAKING PROCESS

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Step4:Choosing an Alternative: Based on the evaluation made managers select the best alternative

Managers should take care not to solve one problem and create another with their choice.

Step5:Implementing and Monitoring the Chosen Solution:

Types of Decisions

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Programmed Decisions

✎ are those made in routine, repetitive, well-structured situations through the use of predetermined decision rules.

✎ The decision rules may be based on habit, computational techniques, or established policies and procedures.

Types of Decisions

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✗ Most of the decisions made by first line managers and many of those made by middle managers are the programmed type, but very few of the decisions made by top-level managers are the programmed type.

Example: Establishing a re-order point, Decide if students meet graduation requirements, Determination of employee pay rates

Types of Decisions

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Non-programmed Decisions:

- ✗ Non-programmed decisions are used to solve non-recurring, novel, and unstructured problems.
- ✗ No well-established procedure exists for handling them, because it has not occurred before managers do not have experience.

Types of Decisions

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Type of decisions	Type of problem	Procedures	Examples
Programmed	Repetitive, routine	Rules, standard operating procedures, policies	Business: processing payroll vouchers College: processing admission applicants Hospital: preparing patient for surgery. Government: using state owned motor vehicle.
Non-programmed	Complex, novel	Creative problem solving	Business: introducing a new product. College: constructing new classroom facilities Hospital: reacting to regional disease epidemic Government: solving spiraling inflation problem

Why Do Managers Make Poor Decisions?

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The reasons are:

- ✗ Lack of adequate time
- ✗ Failure to define goals
- ✗ Using unreliable sources of information
- ✗ Fear of consequences
- ✗ Focusing on symptoms rather than causes
- ✗ Reliance on Hunch and Intuition